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TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

August 31, 2026

CASE NUMBER

25SMCV01133

MOTION

Demurrer to First Amended Complaint

MOVING PARTY

Defendant Global Integrity Realty Corporation

OPPOSING PARTIES

Plaintiffs Cameron Frederick; Mark Toma; and Ryan
Kozlowski

MOTION

This case arises from a dispute between apartment tenants and their landlord, alleging that the landlord used a portion of their application fees to conduct background checks on them, but refused to offer them copies, in violation of the Investigative Consumer Reporting Agencies Act (“ICRAA”).

The operative First Amended Complaint (“FAC”) is brought by Plaintiffs Cameron Frederick; Mark Toma; and Ryan Kozlowski (“Plaintiffs”) against Defendant Global Integrity Realty Corporation (“Defendant”) and alleges seven causes of action as follows:

1.
Violations of the ICRAA – Civ. Code, §§ 1786, et seq.

2.
Negligence

3.
Violations of the Unfair Competition Law (“UCL”), Bus. & Prof., §§ 17200, et seq.

4.
Violations of the Consumer Legal Remedies Act (“CLRA”) – Civ. Code, §§ 1750, et seq.

5.
Invasion of Privacy

6.
False Advertisement

7.
Fraud

Defendant now demurs to the second, third, fourth, fifth, sixth, and seventh causes of action on the grounds that they fail to state facts sufficient to constitute a cause of action, pursuant to Code of Civil Procedure section 431.10, subdivision (e).

Plaintiffs oppose the demurrer and Defendant replies.

ANALYSIS

1.

DEMURRER

“It is black letter law that
a demurrer tests the legal sufficiency of the allegations in a complaint.”
(Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In
testing the sufficiency of a cause of action, a court accepts “[a]s true all
material facts properly pled and matters which may be judicially noticed but
disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a
reasonable interpretation, reading it as a whole and its parts in their
context.” (290 Division (EAT), LLC v.
City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned
up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280
[“in considering the merits of a demurrer, however, “the facts alleged in the
pleading are deemed to be true, however improbable they may be”].)

Further, in ruling on a
demurrer, a court must “liberally construe” the allegations of the complaint
“with a view to substantial justice between the parties.” (See Code Civ. Proc., § 452.) “This rule of liberal construction means that
the reviewing court draws inferences favorable to the plaintiff, not the
defendant.” (Perez v. Golden Empire Transit Dist. (2012) 209
Cal.App.4th 1228, 1238.)

In summary, “[d]etermining
whether the complaint is sufficient as against the demurrer on the ground that
it does not state facts sufficient to constitute a cause of action, the rule is
that if on consideration of all the facts stated it appears the plaintiff is
entitled to any relief at the hands of the court against the defendants the
complaint will be held good although the facts may not be clearly stated, or
may be intermingled with a statement of other facts irrelevant to the cause of
action shown, or although the plaintiff may demand relief to which he is not
entitled under the facts alleged.” (Gressley
v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

FAILURE TO STATE A CAUSE OF ACTION

i.

Damages

Defendant argues that negligence, violations of the UCL, the CLRA, invasion of privacy, false advertisement ("FAL"), and fraud require a concrete injury, which Plaintiffs do not (and cannot) allege, given that their applications were granted.

· The elements for negligence are duty, breach, causation, and damages. (Castellon v. U.S. Bancorp (2013) 220 Cal.App.4th 994, 998, emphasis added.)

· To have standing to bring a UCL or FAL claim, a plaintiff must "(1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that that economic injury was the result of, i.e., caused by, the unfair business practice or false advertising that is the gravamen of the claim." (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 322.)

· A consumer must have suffered "any damage" to bring a claim under the CLRA. (Civ. Code, § 1780, subd. (a).)

· The elements to allege intentional misrepresentation are "(1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff." (Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 605–606, emphasis added.)

· "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact.” (Hambrick v. Healthcare Partners Medical Group, Inc. (2015) 238 Cal.App.4th 124, 162, emphasis added.)

However, “the elements of a common law invasion of privacy claim are intrusion into a private place, conversation, or matter, in a manner highly offensive to a reasonable person.” (Mezger v. Bick (2021) 66 Cal.App.5th 76, 86.) The right to privacy is protected by Article I, section 1 of the California constitution. (Hill v. National Collegiate Athletic Assn. (1994) 7 Cal.4th 1, 16.) Thus, the invasion of that privacy right is the harm, and it becomes actionable whenever such intrusion is highly offensive to a reasonable person. Damages are not an element of the claim.

As for negligence, Plaintiffs allege:

39. Defendants’ breach of the duty and standard of care Plaintiffs were owed was the proximate cause of the damages and injuries herein alleged, as “considerations of [public] policy” cannot limit the Defendants “responsibility for the consequences” of the conduct that Defendants committed in violation of the ICRAA, and the facts alleged herein establish a direct connection between the conduct that Defendants committed in violation of the ICRAA and the harm that Plaintiffs’ suffered. (See, e.g., State Dept. of State Hospitals v. Superior Court (2015) 61 Cal.4th 339, 353.)

40. As the direct, legal and proximate result of Defendants herein alleged acts or failures to act, Plaintiffs suffered actual damages in an amount according to proof at trial, which include without limitation damages for emotional distress, the invasion of privacy rights, and the denial of reports that Plaintiffs had a statutory right to obtain, which harmed Plaintiffs rights in those property interests.

(FAC ¶¶ 39-40.) Thus, Plaintiffs have sufficiently alleged “ultimate facts” that they suffered damages to state a claim for negligence.[1]

Similarly, as for the causes of action under the UCL, FAL, and CLRA, Plaintiffs allege they paid $30 for an "application screening fee" yet were not offered the resulting credit reports. (FAC ¶¶ 43-44, 50, 56, 68, 71-72.)

Defendant argues that the $30 application fee is lawful, regardless of whether consumer reports are ultimately obtained. But whether the consumer reports were actually acquired or Plaintiffs were actually harmed are factual questions to be resolved at later stages of the litigation. For pleading purposes, Plaintiffs have adequately alleged an economic injury sufficient to state a claim under the UCL, FAL, and CLRA.

As for fraud, however, "[f]raud must be pled specifically; general and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Ibid.)

"One of the purposes of the specificity requirement is notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met." (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384.) As such, less specificity is required "when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy[.]" (Ibid.) "Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party." (Ibid.)

Here, Plaintiffs allege:

75. Defendants made false representations that Plaintiffs were provided all required disclosures under the ICRAA and given a meaningful opportunity to request and obtain a copy of any investigative consumer report procured in connection with the application and tenant screening process. Defendants reiterated those misrepresentations after this case was filed and adopted similarly false positions in subsequent written communications to Plaintiffs where Defendant GIRC threatened to sue Plaintiffs

for malicious prosecution and attempted to fabricate evidence that showed GIRC's rental applications complied with the ICRAA's notice and check-box requirements. Thereafter, Defendant GIRC provided verified discovery responses during this litigation to try to support the misrepresentations about its rental applications.

76. Defendant GIRC's representations that it complied with the ICRAA were knowingly false, as Defendants did not provide Plaintiffs the required disclosures under the ICRAA nor provide Plaintiffs a meaningful, ICRAA compliant opportunity to request or obtain a copy of the investigative consumer report(s) procured about them in connection with the application and tenant screening process.

77. Defendants knew the foregoing representations were false when made, and/or made with reckless disregard for the truth. Defendants intended to induce Plaintiffs to proceed with the tenant screening process by paying application screening fees, and submitting sensitive personal information, while Defendants retained the benefits of those fees and the information obtained through the application / screening processes. Worse yet, Defendants subsequent misrepresentations and false assertions, regarding GIRC's supposed compliance with the ICRAA's notice and check-box requirements, were intended to try to induce Plaintiffs to forego their legal rights under the ICRAA, as well as create tension between Plaintiffs and their counsel in the prosecution of this action.

78. Plaintiffs reasonably and justifiably relied on Defendants fraudulent representations and omissions by proceeding with Defendant GIRC's rental application and tenant screening process, paying tenant screening fees and submitting personal information, believing Defendant's process provided the disclosures and report-copy opportunity represented. Thereafter, Plaintiffs also reasonably relied on Defendant GIRC's fraudulent representations and fabricated evidence to initially contemplate foregoing their legal rights under the ICRAA and dismissing this action.

79. As a direct and proximate result of Defendants' fraudulent actions, Plaintiffs suffered damages in an amount to be determined at trial, including without limitation for emotional distress damages and other economic losses proximately caused by Defendant's fraudulent conduct.

(FAC
¶¶ 75-79.)

Plaintiffs have not adequately alleged the specific who, what, when, or how the purported misrepresentations/concealments were made. Nor have Plaintiffs adequately alleged how the purported misrepresentation that all relevant disclosures were made caused Plaintiffs harm.

Therefore, the Court sustains Defendant’s demurrer to the seventh cause of action for fraud.

ii.
CLRA

Defendant demurs to the CLRA claim on the grounds that (1) Plaintiffs failed to allege they gave Defendant 30 days’ notice of the claim prior to filing suit, as required by Civil Code section 1782.

Indeed, the FAC does not allege Plaintiffs gave Defendant the requisite 30 days pre-suit notice. (See FAC ¶¶
14-22; 50-60.)

Therefore, the Court sustains Defendant’s demurrer to the fourth cause of action for violations of the CLRA.

iii.
Invasion of
Privacy

Defendant demurs to the invasion of privacy claim on the ground that Plaintiffs cannot identify the violation of any privacy interest because they did consent to the background checks being conducted in connection with submitting their rental applications.

But Plaintiffs allege:

62. At all times alleged herein, Plaintiffs had a reasonable expectation that Defendants would not solicit, provide or receive information concerning their character, general reputation, personal characteristics, or mode of living, unless Defendants complied with all the governing laws in the state of

California.

63. At all times alleged herein, Plaintiffs had a reasonable expectation that they would be protected by the laws in California that govern the dissemination of information of a private nature concerning their character, general reputation, personal characteristics, or mode of living.

64. The conduct of Defendants in requesting, preparing, furnishing and receiving reports on Plaintiffs' character, general reputation, personal characteristics, or mode of living, in contrivance of the protections enshrined in the ICRAA, constituted a serious invasion of Plaintiffs' privacy rights under California law and the constitution of this state.

(FAC ¶¶ 62-64.)

Whether Plaintiffs actually consented to the background checks is a factual issue to be resolved at later stages of the litigation.

iv. False Advertising

Defendant demurs to the FAL claim on the grounds that it is not pleaded with adequate specificity, though Defendant concedes that the heightened pleading requirement for fraud does not apply to FAL claims.

Here, Plaintiffs have adequately alleged that Defendant represented to the Plaintiffs in connection with their rental applications that all requisite disclosures had been made, when they had not been made, in order to induce Plaintiffs into engaging in the screening process and pay the fee without offering them copies of the requisite reports, which is what allegedly occurred here. (FAC ¶¶ 69-72.)

Therefore, the Court overrules, on this ground, Defendant's demurrer to the sixth cause of action for false advertising.

2. LEAVE TO AMEND

A
plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See The Inland Oversight Committee v. City of San Bernardino (2018) 27 Cal.App.5th 771, 779; PGA West Residential Assn., Inc. v. Hulven Int'l, Inc. (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See PGA West Residential Assn., Inc. v. Hulven Int'l, Inc., supra, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that “if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend.” (See Major Clients Agency v Diemer (1998) 67 Cal.App.4th 1116, 1133; Graham v. Bank of America (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, Plaintiffs
have failed to meet this burden as they do not specify any facts that can be added to the complaint to cure the deficiencies identified above.

CONCLUSION AND ORDER

For the reasons stated, the Court overrules Defendant’s demurrer to the second, third, fifth, and sixth causes of action, but sustains without leave to amend Defendant’s demurrer to the fourth and seventh causes of action for violations of the CLRA and fraud, respectively.

Defendant shall file an Answer to the FAC on or before September 14, 2026.

Defendant shall provide notice of the Court’s ruling and file the notice with a proof of service forthwith.

DATED: August 31, 2026 ______/s/_____________________

Michael
E. Whitaker

Judge

of the Superior Court

[1] Ultimate facts are those “constituting the cause of action” or those upon which liability depends, e.g., duty of care, breach of the duty and causation (damages). (See Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “[T]he term ultimate fact generally refers to a core fact, such as an essential element of a claim. Ultimate facts are distinguished from evidentiary facts and from legal conclusions.” (Central Valley General Hosp. v. Smith (2008) 162 Cal.App.4th 501, 513 [cleaned up]; see also Rodriguez v. Parivar, Inc. (2022) 83 Cal.App.5th 739, 750–751 [“The elements of a cause of action constitute the essential or ultimate facts in a civil case”].)